



9 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment softened overnight as elevated oil prices and a renewed sell-off in global equity markets reinforced an already cautious tone across financial markets.

Oil prices extended their rally as markets remain sensitive to signs of re-escalation in the Middle East, despite reports that negotiations are ongoing and the US is not preparing an attack before the mid-term elections.

Share markets remained under pressure, with a sell-off in chipmakers taking hold after reports that OpenAI's annualised revenue figures are about \$20bn less than initially signalled, extending an already cautious tone set across Europe and Asia.

Fed Governor Waller reinforced the view that further policy tightening need not come at consecutive meetings, tempering expectations of a November rate hike. Strong demand at the latest 30-year auction helped pull longer-dated yields away from recent highs.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	-0.2%
AUD/USD	0.6962	0.0%
AUD/JPY	109.88	-0.2%
AUD/GBP	0.5261	-0.1%
AUD/NZD	1.2423	-0.1%
AUD/EUR	0.6206	-0.2%
AUD/CNH	4.6666	0.0%
AUD/SGD	0.8914	0.0%
AUD/HKD	5.4634	0.0%
AUD/CAD	0.9898	-0.3%
EUR/USD	1.1216	0.2%
USD/JPY	157.84	-0.2%
USD Index	102.10	-0.1%

Equities	Close	Change
S&P/ASX 200	8,661	-0.8%
S&P 500	7,765	-0.5%
Japan Nikkei	69,042	-1.4%
Hang Seng	23,786	-1.4%
Euro Stoxx 50	6,127	-0.9%
UK FTSE100	10,442	-0.2%
VIX Index	15.47	2.6%

Commodities	Current	Change
CRB Index	414.34	0.7%
Gold	4135.76	0.6%
Copper	14309	-1.1%
Oil (WTI futures)	90.82	2.9%
Coal (coking)	267.00	0.4%
Coal (thermal)	152.70	-0.2%
Iron Ore	91.00	-0.2%
ACCU	36.13	-4.3%

Data as at 7:15am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.61	-0.01
90 day BBSY	4.82	0.01
180 day BBSY	5.21	0.00
1 year swap	4.90	0.00
2 year swap	4.91	-0.01
3 year swap	4.90	-0.02
4 year swap	4.93	-0.03
5 year swap	4.98	-0.03
6 year swap	5.03	-0.04
7 year swap	5.08	-0.05
8 year swap	5.14	-0.04
9 year swap	5.20	-0.04
10 year swap	5.24	-0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.90	-0.03
10 year bond	5.39	-0.01
United States		
3-month T Bill	4.04	0.00
2 year bond	4.75	-0.02
10 year bond	5.22	-0.06
Other (10 year yields)		
Germany	3.50	0.02
Japan	3.09	-0.01
UK	5.48	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.36	-0.05
3 yr bond	4.90	-0.02
3 mth bill rate	4.77	0.14
SPI 200	8,715	0.2%



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Financial Markets

- Share markets were once again weaker across the globe. The pullback in risk sentiment was clearest during US trading, where a sell-off in chipmakers took hold following reports that OpenAI's annualised revenue figures are about \$20bn less than initially signalled. The tech-heavy NASDAQ bore the brunt of the decline (–1.3%), while the S&P 500 also moved lower (–0.5%).
- That largely built on an already sour mood permeating through European and Asian markets against the backdrop of elevated oil prices. The Euro Stoxx 50 (–0.9%) and FTSE 100 (–0.2%) both dropped, but sharper falls were seen across Tokyo (–1.4%), Hong Kong (–1.4%), Shanghai (–1.1%) and Seoul (–2.6%). The ASX 200 also fell 0.8%.
- Treasuries effectively unwound yesterday's steepening following a strong turn-out at the latest 30-year auction, which ended up pulling 10-year and 30-year yields down 6bps and 7bps to 5.22% and 5.60% respectively, a decent margin under recent highs. Meanwhile, expectations for back-to-back Fed rate hikes continued to ease following comments from the FOMC's Waller overnight, supporting a smaller rally at the short-end, with the 2-year down 2bps to 4.75%.
- Bonds were fairly mixed elsewhere, with 10-year Bunds up 2bps, 10-year Gilts up 4bps while 10-year JGBs inched 1bp lower. ACGBs rallied during local trading, and that momentum looks to have persisted in futures trading overnight. Swaps markets have continued to pull-back on a follow-up RBA rate hike in November, with only 4bps priced in, while a December rate hike is still seen at roughly around 50/50 odds.
- The USD was looking firmer during European trading before slipping after the NY open, the DXY finishing 0.1% lower on the day at around 102.1. The Euro finished 0.1% higher against the greenback following comments from the ECB President Lagarde stating that the ECB are "attentive to markets" and that the ECB "has tools to counter unwarranted markets". The Yen and Sterling meanwhile rose 0.1% and 0.2% against the USD respectively. The Aussie dollar bucked the wider trend, edging 0.1% lower.
- Crude oil prices extended their rally overnight, with Brent jumping 3.3% to US\$103.5/bbl as markets remain on edge following the recent re-escalation in the Middle East. Prices did come off an intraday peak of just under US\$106/bbl, however, finding only some relief at the margin after Iran confirmed negotiations are "still ongoing", while President Trump said the US is having "productive discussions" with Iran and "will not be attacking Iran at any time prior to the Midterm Elections".

Today's key data and events

Time	Event	Exp	Prev
10:30	JP Household Spending Aug	-3.6%	-3.6%
-	CN M2 Money Supply Sep	7.4%	7.5%
1:00	US Uni. Of Michigan Sentiment Oct Prel.	47.7pts	48.1pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Base metals felt the souring in risk sentiment overnight, with LME copper falling 1.1% to US\$14,309/mt while LME aluminium dropped 2.1% to US\$3,050/mt. Gold rose 0.6% to around US\$4,136/oz against the backdrop of lower real yields and a slightly weaker USD.

International Data

In the US, **initial jobless claims** ticked slightly lower last week, to 197k from 199k (revised up from 197k). That was slightly better than the markets expectations – the low and stable level of claims indicates the labour market is not in stress.

The **FOMC's Waller** spoke overnight, stating that further hikes are necessary but they need not come consecutively: "If the economic data continue to come in as expected, I anticipate additional hikes to support a timelier return of inflation to our 2% goal"; "But there is some flexibility about when those hikes will occur. The hikes do not need to come at consecutive meetings, but they should be in place in an acceptable period of time."



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